

Shaphargroup's China → Europe SAF Bridge Report September edition

September 2025

Curated, buyer-focused insights from Shaphargroup — bridging Chinese supply with European demand.

This monthly downloadable report provides essential market intelligence for European SAF buyers, financiers, and Chinese suppliers navigating the evolving sustainable aviation fuel landscape.



Market Flow Snapshot

What Moved in September

Europe

Import T1 UCO CIF ARA held tight at **\$1,163/t** (flexi, 5% FFA) as buyers returned after summer. Inland Ex-Works NL eased to **€1,078/t** while EU/UK-origin FOB ARA tracked lower at **€1,129/t** but maintained provenance premium. October inland demand building, especially in Iberia.

China

Standard UCO FOB softened late-month to **\$1,130/t** bulk after mid-month firmness. HVO-grade eased to **\$1,165/t**. Light US interest and fewer EU inquiries reported, while export-permit (whitelist) limits continued to cap near-term SAF export optionality.

📌 **Bridge takeaway:** For EU buyers, provenance and documentary quality still price in; for CN suppliers, airtight documentation + clear export-permit headroom remain the keys to unlock Europe.



Global Partnership

Bridge Takeaway

EU Buyers

- Provenance premiums persist for EU/UK-origin materials
- Documentary quality requirements tightening
- October demand building, especially Iberian markets
- Forward planning needed for Q4/Q1 volumes

CN Suppliers

- Export-permit headroom critical for SAF access
- Documentation standards must meet EU requirements
- HVO-grade specifications commanding premiums
- US interest light, EU inquiries fewer than expected

Price & Premium Signals

Early/Mid/End September & Direction

Product	Early	Mid	End	Dir.
UCO T1 CIF ARA (flexi, 5% FFA)	\$1,145	\$1,170	\$1,163	↔
UCO Ex-Works Netherlands (€/t)	€1,070	€1,080	€1,078	↔
UCO FOB China (standard, bulk)	\$1,110	\$1,150	\$1,130	▼
UCO FOB China (HVO-grade, bulk)	\$1,145	\$1,175	\$1,165	▼
UCOME FOB ARA	\$1,503	\$1,510	\$1,493	▼
SAF FOB ARA	\$2,646.9	\$2,670	\$2,710	▲
SAF FOB China	\$2,100	\$2,300	\$2,125	▲

All \$/t unless noted; direction shows Mid → End change: ▲ ≥ +10, ▼ ≤ -10, ↔ within ±10

Arbitrage Analysis

\$319

UCOME CN → EU

Closed by \$319/t at generic duty (month-end)

\$142

Cooperating Duty

Closed by \$142/t at cooperating duty rate

+\$35

CN Premium UCO

Averaged +\$35/t vs bulk early-Sept, easing to
~+\$30/t late-month

Mid-September UCOME/FAMEO/RME premiums were volatile as higher gasoil lifted flats. Chinese premium UCO maintained consistent premiums throughout the month.

Policy & Certification Watch

EC Anti-Dumping Extension

Extended anti-dumping/anti-subsidy to HEFA-SAF from US/Indonesia/Argentina (immediate). Goal: protect EU SAF build-out and prevent SAF leaking into road fuels.

China SAF Monitoring

China SAF under monitoring (TARIC codes noted by EC); export whitelist continues to constrain near-term CN SAF outflows despite stronger EU interest.

Refinery Updates

BP halts standalone Rotterdam biofuels project (after Shell's cancellation); co-processing up at Castellón → incremental supply, but no step-change.

Germany EEG Support

Germany adds ~€7.9bn to EEG biogas support (bigger auctions, higher flexibility bonus). Neutral for UCO/SAF near-term.

📌 **UK Anti-Dumping (Aug 22):** SAF excluded from duties

Deal & Partnership Highlights

Christiania Shipping × FincoEnergies

First GoodFuels B100 bunkering completed in Europe — showcases high-blend readiness and provenance value in the marine fuel sector.

Bunker One Sweden

Long-term charter Sagafjord — expands Nordic bio-bunkering capability and future-fuels readiness across Scandinavian markets.

These partnerships signal growing confidence in high-blend biofuel capabilities and the importance of established supply chains for sustainable aviation and marine fuels.

Implications — What to Do Now

For European Buyers

1. **Stage Q4/Q1 volumes:** SAF ARA firmed late-month; use SAFc/Book-&-Claim as flexibility on top of physical
2. **Price provenance & liability:** Pay up for EU/UK-origin or fully documented CN supply; add duty & sustainability-liability clauses
3. **Check deliverability:** For CN SAF, confirm export-permit headroom and shipment windows before value-locking

For Chinese Suppliers

1. **Lead with documentation:** ISCC/CORSIA IDs, CoAs, collection trails; state flexi vs ISO, FFA%, EUR.1 if applicable
2. **Show permit capacity:** Include whitelist proof and remaining export quota in offers; propose allocations beyond October
3. **Offer delivery optionality:** CIF/DAP to core EU ports; match HVO-grade specs when targeting refiner demand

For Financiers & Trade Credit

Re-underwrite spreads: mild softness in UCOME vs firmer SAF ARA shifts cash-flow timing; stress at $\pm$ \$100/t. Maintain elevated documentation risk discipline amid tighter buyer-liability regimes.

Quick Reference — September Benchmarks

\$1,163

UCO T1 CIF ARA

flexi, 5% FFA (end-month)

€1,078

UCO Ex-Works NL

end-month pricing

\$1,130

UCO FOB China (std)

bulk, end-month

\$1,165

UCO FOB China (HVO)

bulk, end-month

\$1,493

UCOME FOB ARA

end-month pricing

\$2,710

SAF FOB ARA

end-month pricing

SAF FOB China (mid): \$2,300/t (export-permit limited)

Arbitrage (CN UCOME → EU): closed ~\$319/t (generic) / \$142/t (cooperating) at month-end

Contact

Let's Bridge Your Next Transaction

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Methodology & Sources

Curated from September market notes and price checks (Sept 2025) and supplementary assessor commentary. Figures are **indicative**; trade terms (FOB/CIF/DAP), container type (flexi/ISO), FFA%, and EUR.1 status materially affect comparability.

Disclaimer

This report is compiled from curated market information for September 2025. It is for information only and **not investment advice**. Market levels are **indicative** and may differ from executed prices depending on specs, terms, and logistics.

Figures are indicative; terms/specs affect comparability.
UK duties note: SAF excluded.